9-3b Selling Fixed Assets

The entry to record the sale of a fixed asset is similar to the entry for discarding an asset. The only difference is that the receipt of cash is also recorded. If the selling price is more than the book value of the asset, a gain is recorded. If the selling price is less than the book value, a loss is recorded.

To illustrate, assume that equipment is purchased at a cost of $10,000 with no estimated residual value and is depreciated at a straight-line rate of 10%. The equipment is sold for cash on October 12 of the eighth year of its use. The balance of the accumulated depreciation account as of the preceding December 31 is $7,000. The entry to update the depreciation for the nine months of the current year is as follows:

Oct.	12	Depreciation Expense—Equipment	750	
		Accumulated Depreciation—Equipment		750
		To record current depreciation on equipment sold ($10,000 × $^9/_{12}$ × 10%).		

Assets	=	Liabilities	+	Stockholders' Equity
Accumulated Depreciation: credit 750				Depreciation Expense: debit 750

After the current depreciation is recorded, the book value of the asset is $2,250 ($10,000 − $7,750). The entries to record the sale, assuming three different selling prices, are as follows:

Sold at book value, for $2,250. No gain or loss.

Oct.	12	Cash	2,250	
		Accumulated Depreciation—Equipment	7,750	
		Equipment		10,000

Assets			=	Liabilities	+	Stockholders' Equity
Cash: debit 2,250	Equipment: credit 10,000	Accumulated Depreciation: debit 7,750				

Sold below book value, for $1,000. Loss of $1,250.

Oct.	12	Cash	1,000	
		Accumulated Depreciation—Equipment	7,750	
		Loss on Sale of Equipment	1,250	
		Equipment		10,000

Assets			=	Liabilities	+	Stockholders' Equity
Cash: debit 1,000	Equipment: credit 10,000	Accumulated Depreciation: debit 7,750				Loss on Sale of Equipment: debit 1,250

Sold above book value, for $2,800. Gain of $550.

Oct.	12	Cash	2,800	
		Accumulated Depreciation—Equipment	7,750	
		Equipment		10,000
		Gain on Sale of Equipment		550

Assets			=	Liabilities	+	Stockholders' Equity
Cash	Equipment	Accumulated Depreciation				Gain on Sale of Equipment
2,800 (Dr.)	10,000 (Cr.)	7,750 (Dr.)				550 (Cr.)

Business Insight

Downsizing

Management may decide to sell a fixed asset when it is perceived to no longer meet business objectives. This can happen when the strategy of the business changes or the business is downsizing operations. For example, in a recent year, **Chipotle Mexican Grill, Inc. (CMG)**, a national restaurant chain, sold assets consisting of kitchen appliances and lease improvements at a book value of $23.1 million for cash proceeds of $15.4 million, resulting in a $7.7 million loss. These fixed assets were sold in order to focus on more profitable restaurants.

Check up Corner 9-2

Selling Fixed Assets

On the first day of the year, Firefall Company purchased equipment at a cost of $340,000. The equipment was expected to have a useful life of 4 years, has a residual value of $20,000, and is depreciated at a straight-line rate of 25%. Firefall sold the equipment at the beginning of the fourth year when the balance in the accumulated depreciation account was $240,000. Journalize the entry to record the sale if the equipment was sold for:

a. $95,000

b. $105,000